

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 22, Honorable Beth McGowen Presiding

Farris Bryant, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: (408) 882-2340

To contest a tentative ruling, you must:

1. Call (408) 808-6856 before 4:00 P.M. and leave a voicemail message containing the information described below, and
2. Notify the other side before 4:00 P.M. that you will appear at the hearing to contest the tentative ruling.

In the voicemail message, please state your case name, case number, the name of the attorney, who you represent (Plaintiff or specific defendant) and contact number. It would also be helpful if you could identify the specific portion or portions of the tentative ruling that will be contested.

PLEASE NOTE:

- If you do not notify the Court and/or opposing side as required by California Rule of Court, rule 3.1308(a)(1) and Civil Local Rule 8(E), the Court will not hear argument and the tentative ruling will be adopted even if all parties appear at the hearing.
- Sending an email to the department or to the Complex Clerk will no longer suffice to constitute notice to the Court of the need for a hearing regarding a tentative ruling.

Court Reporters are not provided. Please consult our Court's website, www.scscourt.org, for the rules, policies, and required forms for appointment by stipulation of privately-retained court reporters.

- **Parties can appear either in person or remotely.** All remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely.
- As a reminder, state and local Court Rules prohibit recording of court proceedings without a Court order. This prohibition applies while in the courtroom and while appearing remotely.

DATE: September 24, 2026 TIME: 1:30 P.M.

**PREVAILING PARTY SHALL PREPARE THE ORDER
UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))**

LINE #	CASE #	CASE TITLE	RULING
LINE 1	23CV409763	Spencer v. National Builders & Services Inc. (Class Action/PAGA)	Motion to Compel Discovery Responses is MOOT, request for Sanctions is GRANTED Click on line 1 for tentative ruling
LINE 2	23CV412059	Gonzales v. Frontline Asset Strategies, LLC (Class Action)	Motion: Leave to Amend is GRANTED Click on line 2 for tentative ruling
LINE 3	23CV418940	Guerrero v. JB Restaurant #4365, Inc., et al. (Class Action)	Hearing: Motion For Final Approval is continued to October 22 for Submission of Declaration Click on line 3 for tentative ruling below
LINE 4	24CV429458	Karen Sbriglio et al vs Shantanu Narayen et al	Motion to Stay is GRANTED IN PART AND DENIED IN PART Click on line 4 for tentative ruling
LINE 5	24CV452108	In Re Maxar Data Security Litigation	Hearing: Motion for Final Approval of Settlement is GRANTED, Motion for Attorneys' Fees is GRANTED Click on lines 5-6 for tentative ruling
LINE 6	24CV452108	In Re Maxar Data Security Litigation	
LINE 7			
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Calendar Line 1

Case Name: *Spencer v. National Builders & Services Inc.*

Case No.: 23CV409763

This is a class and representative action under the Private Attorneys General Act (“PAGA”). Plaintiff Sinuhe Nahkizi Spencer alleges defendant National Builders & Services Inc. committed various wage and hour violations.

Before the Court is Plaintiff’s motion to compel responses, which is opposed by Defendant. For reasons discussed below, Plaintiff’s motion to compel is MOOT and his request for sanctions is GRANTED.

I. BACKGROUND

According to the operative first amended complaint (“FAC”), Defendant failed to: pay all minimum wages; pay all overtime wages; provide compliant rest periods or compensation in lieu thereof; provide compliant meal periods or compensation in lieu thereof; maintain accurate employment records; pay wages timely during employment and at separation; reimburse for necessary business expenses; provide accurate itemized wage statements.

Based on the foregoing, Plaintiff initiated this action on January 10, 2023, with the filing of the complaint, and on March 16, 2023, he filed the operative FAC, which asserts the following causes of action: (1) failure to pay all minimum wages; (2) failure to pay all overtime wages; (3) failure to provide rest periods and pay missed rest period premiums; (4) failure to provide meal periods and pay missed meal period premiums; (5) failure to maintain accurate employment records; (6) failure to pay wages timely during employment; (7) failure to pay all wages earned and unpaid at separation; (8) failure to indemnify all necessary business expenditures; (9) failure to furnish accurate itemized wage statements; (10) violations of California’s Unfair Competition Law; and (11) civil penalties under PAGA.

On June 1, 2026, the Court issued its order regarding Plaintiff’s motion to compel responses to his special interrogatories.

II. UNTIMELY OPPOSITION

Code of Civil Procedure section 1005, subdivision (b), requires all opposing papers to be filed and served at least nine court days before the hearing. No paper may be rejected for filing on the ground that it was untimely submitted for filing. (Cal. Rules of Court, Rule 3.1300(d).) If the court, in its discretion, refuses to consider a late filed paper, the minutes or order must indicate. (*Ibid.*) “A trial court has broad discretion to under rule 3.1300(d) of the California Rules of Court to refuse to consider papers served and filed beyond the deadline without a prior court order finding good cause for late submission.” (*Bozzi v. Nordstrom, Inc.* (2010) 186 Cal.App.4th 755, 765.)

Here, the hearing for the instant motion is on September 24, 2026. Thus, Defendant was required to file the opposition by September 11, 2026 in order to be timely. However, the opposition was not filed until September 14, 2026, which is eight court days before the hearing. The Court does not condone Defendant’s actions, however, it does not appear that

Plaintiff has suffered prejudice as a result of the untimely opposition and courts have a strong policy favoring the disposition of cases on the merits rather than on procedural grounds (see *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 806), thus, the Court will consider the substantive merits of the opposition. (See also *Kapitanski v. Von's Grocery Co.* (1983) 146 Cal.App.3d 29, 32 [cognizant of the strong policy favoring the disposition of cases on their merits...judges frequently consider documents which have been untimely filed.].) Defense counsel is admonished to comply with all applicable deadlines in the future as the failure to do so may lead to a different outcome.

The Court will now turn to the merits of the motion.

III. LEGAL STANDARD

If a party to whom a demand for inspection, copying, testing, or sampling is directed fails to serve a timely response to it fails to serve a timely response, the party making the demand may move for an order compelling response to the demand. (Code Civ. Proc., §2031.300, subd. (b).) Even if objections do not need to be verified, objections will be waived if the responding party “fails to file any response within the statutory time period.” (*Food 4 Less Supermarkets, Inc. v. Superior Court* (1995) 40 Cal.App.4th 651, 658.) The burden is on the responding party to justify any objections or failure to fully answer. (*Coy v. Superior Court* (1962) 58 Cal.2d 210, 220–221 (*Coy*).)

IV. DISCUSSION

A. Request for Production

Plaintiff moves to compel responses to his request for production, set one (“RFP Set One”).

On June 27, 2024, the Court partially lifted the discovery stay to permit discovery regarding class certification. (Declaration of Maria Burciaga (“Burciaga Decl.”), ¶ 4.) On September 23, 2024, Plaintiff served RFP Set One. (*Ibid.*) Defendant’s responses were due on October 25, 2024, however, it failed to provide any responses on or before the due date. (Burciaga Decl., ¶¶ 4-5.) On October 30, 2024, the parties met and conferred about Defendant’s failure to provide timely responses, and they agreed to participate in mediation. (Burciaga Decl., ¶¶ 5-6.) The parties also agreed to stay formal discovery for 30 days (until May 8, 2025) and to exchange informal discovery—Defendant produced a sample of the requested data prior to mediation, which consisted of handwritten timesheets. (Burciaga Decl., ¶ 6.) The mediation did not result in a settlement and on August 21, 2025, the parties met and conferred about Plaintiff’s intent to resume formal discovery. (Burciaga Decl., ¶ 7.) Additionally, Plaintiff’s counsel requested complete responses without objections by August 28, 2025, however, Defendant failed to provide any responses. (*Ibid.*)

On October 28, 2025, the parties attended an informal discovery conference (“IDC”), but they were unable to resolve the outstanding dispute. (Burciaga Decl., ¶ 8.) On December 16, 2025, defense counsel emailed Plaintiff’s counsel acknowledging that supplemental responses were outstanding and requested an additional three weeks, however, as of the date of Burciaga’s declaration [April 8, 2026], Defendant had not served verified responses to the RFPs. (Burciaga Decl., ¶¶ 9-10.)

Plaintiff seeks information relevant to Plaintiff's class and PAGA representative action claims such as details regarding job duties, information relating to the payment of wages, timekeeping policies, reimbursement of business expenses, and meal and rest periods, the associated premiums, and complaints by class members relating to the claims. (Plaintiff's Memorandum of Points and Authorities ("MPA"), p. 5:10-14.)

In opposition, Defendant states that defense counsel Jacob Mojarro ("Mojarro") inherited the instant matter after prior defense counsel Anne-Leith Matlock abruptly departed their law firm. (Declaration of Mojarro ("Mojarro Decl."), ¶¶ 2-3.) Based on his review of the file, Mojarro was aware that the parties participated in mediation in April 2025 and he understood that the parties had agreed to an informal exchange of documents for the purpose of facilitating a return to mediation. (Mojarro Decl., ¶¶ 4-6.) In March 2025, Defendant produced 1,275 pages of documents in connection with the parties' informal discovery agreement. (Mojarro Decl., ¶ 6.) Mojarro was not initially aware that Plaintiff expected separate, formal written responses to the RFPs in addition to the document production. (*Ibid.*)

On December 16, 2025, Mojarro sent an email to Plaintiff's counsel acknowledging that supplemental discovery responses were outstanding and he requested an additional three weeks to provide them, however, he was unable to provide them due to exigent circumstances. (Mojarro Decl., ¶ 7.) He did not receive any follow-up communication from Plaintiff's counsel prior to the instant motion. (*Ibid.*)

On September 12, 2026, Mojarro served verified responses to RFP Set One, without objection. (Mojarro Decl., ¶ 9.) He also provided a supplemental production consisting of information regarding employee payroll records, earnings information, job titles, and contact information for class members. (Mojarro Decl., ¶ 10.) As Defendant has provided substantive discovery responses without objection, there is no basis for the Court to compel responses. Plaintiff's motion to compel further responses is MOOT.

B. Sanctions

Plaintiff requests sanctions in the amount of \$1,686.80.

If a party to whom a demand for inspection, copying, testing, or sampling is made fails to serve a timely response, the propounding party may move for an order compelling responses and for a monetary sanction. (Code Civ. Proc. section 2031.300, subd. (b).) "The court shall impose a monetary sanction... against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel a response to a demand for inspection, copying, testing, or sampling, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust..." (Code Civ. Proc., § 2031.300, subd. (c).) [.] "[T]he phrase 'substantial justification' has been understood to mean that a justification is clearly reasonable because it is well grounded in both law and fact." (*Doe v. United States Swimming, Inc.* (2011) 200 Cal.App.4th 1424, 1434 (*Doe*).)

As the Court noted in its order regarding the special interrogatories, there is no information or explanation regarding the failure to respond by prior defense counsel. The case was handed off suddenly to Mojarro, who reviewed the discovery at that time. Nevertheless, Mojarro took over the case in September 2025, he represented to Plaintiff that he would

provide responses by early January 2026, and he fails to offer any explanation for the delay since the December 16, 2025 communication or efforts to produce from that time until the production in September 2026. Thus, the Court cannot conclude that Mojarro acted with substantial justification in the delay to produce responses. Plaintiff's counsel provides a billing rate of \$581 per hour and states she spent 2.8 hours researching and drafting the instant motion. (See Burciaga Decl., ¶ 11.) The Court finds this amount is reasonable. Thus, the request for sanction is GRANTED.

V. CONCLUSION

Plaintiff's motion to compel response is MOOT and the request for sanctions is GRANTED.

The Court will prepare the order.

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Calendar Line 2

Case Name: *Gonzalez v. Frontline Asset Strategies, LLC*
Case No.: 23CV412059

This is a consumer class action brought pursuant to the California Rosenthal Fair Debt Collection Practices Act (“RFDCPA”). Plaintiff Connie Gonzalez, a senior citizen, alleges that defendants Frontline Assets Strategies, LLC (“Frontline”) and Radius Global Solutions LLC (“Radius”)(collectively, “Defendants”) have a routine practice of sending initial written communications which fail to provide the notice required by Civil Code section 1788.14.5, subd. (e)(1) in an attempt to collect time-barred consumer debts.

Before the Court is Plaintiff’s motion for leave to amend, which is unopposed.¹ For reasons discussed below, the Court GRANTS Plaintiff’s motion.

I. BACKGROUND

According to the allegations of the Complaint, Plaintiff incurred a financial obligation in the form of a consumer credit account allegedly owned by Dish Network, LLC (“Dish”). (Complaint, ¶ 13.) The debt was incurred for personal, family, or household purposes. (*Ibid.*) Thereafter, Plaintiff was unable to pay the debt and defaulted. (Complaint, ¶ 14.)

Subsequently, Dish hired or contracted Defendants to collect the debt from Plaintiff on its behalf. (Complaint, ¶ 16.) On November 14, 2022, Defendants sent a collection letter to Plaintiff to collect the debt. (Complaint, ¶¶ 16, 18.) The letter was the first written communication from Defendants to Plaintiff in connection with the debt and did not include the notice required by Civil Code section 1788.14.5, subdivision (e)(1). (Complaint, ¶¶ 19-20.) Specifically, the letter failed to provide the true name of the debt collector. (Complaint, ¶ 20.) On information and belief, Plaintiff alleges that Defendants had knowledge that their conduct was directed towards a senior citizen. (Complaint, ¶ 21.)

Based on the foregoing, on March 9, 2023, Plaintiff initiated this action with the filing of the Complaint, which asserts a single cause of action for violation of the RFDCPA. On January 24, 2026, the Court issued its order which denied Radius’ motion for judgment on the pleadings.

II. MOTION FOR LEAVE TO AMEND

Plaintiff moves for leave to file her first amended complaint (“FAC”).

A. Legal Standard

Code of Civil Procedure sections 473, subdivision (a), and 576 provide that the court “may, in the furtherance of justice,” allow a party to amend any pleading. “It is well established that ‘California courts have “a policy of great liberality in allowing amendments at any stage of the proceeding so as to dispose of cases upon their substantial merits where the authorization does not prejudice the substantial rights of others.” Indeed, “it is a rare case in which ‘a court will be justified in refusing a party leave to amend his [or her] pleading so that he [or she] may

¹ Radius filed a response but explicitly states that it does not oppose the motion.

properly present his [or her] case.’ ” Thus, absent a showing of prejudice to the adverse party, the rule of great liberality in allowing amendment of pleadings will prevail.” (*Board of Trustees v. Superior Court* (2007) 149 Cal.App.4th 1154, 1163 [internal citations omitted].)

“Leave to amend a complaint is thus entrusted to the sound discretion of the trial court. . . .” (*Branick v. Downey Savings & Loan Assn.* (2006) 39 Cal.4th 235, 242 [internal citations omitted].) “[I]t is an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment.” (*Kittredge Sports Co. v. Superior Court* (1989) 213 Cal.App.3d 1045, 1048, (*Kittredge*)). The court does not abuse its discretion by denying leave to amend where the facts stated do not constitute a cause of action. (See *IIG Wireless, Inc. v. Yi* (2018) 22 Cal.App.5th 630, 654 (*IIG Wireless*)).

A motion to amend filed before trial must (1) include a copy of the proposed amended pleading, (2) state what allegations in the previous pleading are proposed to be deleted, and (3) state what allegations are proposed to be added to the previous pleading. (Cal. Rules of Ct., rule 3.1324(a).) The motion must also include a separate declaration that explains “(1) The effect of the amendment; (2) Why the amendment is necessary and proper; (3) When the facts giving rise to the amended allegations were discovered; and (4) The reasons why the request for amendment was not made earlier.” (Cal. Rules of Ct., rule 3.1324(b).)

B. Discussion

Plaintiff moves for leave to amend her pleading so she can add factual allegations specific to Radius.

The Complaint was filed on March 9, 2023 and on August 19, 2024, Plaintiff filed an amendment to her Complaint to name Radius as Doe 1.

In the operative Complaint, Plaintiff brought claims against Frontline for violations of the RFDCPA. (Plaintiff’s Memorandum of Points and Authorities (“MPA”), p. 2:4-6.) Frontline transferred its website and ongoing business activities to Radius and initiated an assignment for the benefit of creditors proceeding in Florida state court. (MPA, p. 2:7-9.) Frontline’s debt collection business operations were merged or consolidated into Radius and continued by Radius. (MPA, p. 2:9-10.)

“Leave to amend a complaint is thus entrusted to the sound discretion of the trial court.” (*Branick, supra*, 39 Cal.4th at p. 242.) “[I]t is an abuse of discretion to deny leave to amend where the opposing party was not misled or prejudiced by the amendment.” (*Kittredge, supra*, 213 Cal.App.3d at p. 1048.) Prejudice exists where the amendment would require delaying the trial, result in the loss of critical evidence, add costs of preparation, or increase the burden of discovery, etc. (See *Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 486-488; see also *Melican v. Regents of the Univ. of Calif.* (2007) 151 Cal.App.4th 168, 176.)

Plaintiff’s counsel Fred Schwinn submitted a declaration (“Schwinn Decl.”) in support of the instant motion in which he states that the proposed FAC seeks to add “factual allegations specific to [Radius]; clarify the complaint to add factual allegations that conform to the facts obtained in discovery, and narrow the scope of the violations alleged.” (Schwinn Decl., ¶ 6.) The class definition is unchanged. (*Ibid.*)

Plaintiff argues that the case is still in the early stages of litigation, no trial has been set and the parties are still engaged in discovery. (MPA, p. 3:14-15.) She contends that Radius will not be prejudiced by the proposed amendment as the additional allegation pertain to it. (MPA, p. 3:15-16.) She further contends that the putative class will be prejudiced if the instant motion is denied. (MPA, p. 4:9-10.) Moreover, Radius does not oppose the amendment.

Here, Plaintiff's request is procedurally proper and accompanied by the required declarations and facts. (See Cal. Rules of Ct., rule 3.1324(a) & (b).) Moreover, the Court agrees that Defendant will not be prejudiced by allowing Plaintiff to file the FAC. Thus, the Court finds that permitting amendment is proper.

Based on the foregoing, Plaintiff's motion is GRANTED.

III. CONCLUSION

Plaintiff's motion for leave to amend is GRANTED. Plaintiff's FAC is deemed filed and it must be served within 10 days of this order.

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Calendar Line 3

Case Name: *Guerrero v. JB Restaurant #4365, Inc., et al.*

Case No.: 23CV418940

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiffs Olivia Guerrero and Edith Martinez (collectively, “Plaintiffs”) allege defendants JB Restaurant #4365, Inc., JB Restaurant #401, Inc., JB Restaurant #438, Inc., JB Restaurant #476, Inc., JB Restaurant #483, Inc., JB Restaurant #3419, Inc., JB Restaurant #3425, Inc., JB Restaurant #3462, Inc., JB Restaurant # 3464, Inc., JB Restaurant #4388, Inc., LJ & MW Enterprises, Inc. (collectively, “Defendants”) committed various wage and hour violations.

Before the Court is Plaintiffs’ motion for final approval of settlement, which is unopposed. As discussed below, the Court issues its tentative ruling as follows.

I. BACKGROUND

According to the allegations of the operative second amended complaint (“SAC”), Plaintiff Guerrero was employed by Defendant as an hourly paid, non-exempt cook from approximately December 2015 to March 2023. (SAC, ¶ 4.) Plaintiff Martinez was employed by Defendants as an hourly paid, non-exempt cashier from approximately September 2020 to May 2023. (SAC, ¶ 5.)

Plaintiffs allege Defendants failed to, among other things: timely pay all wages owed, including minimum and overtime; provide meal periods or compensation in lieu thereof; provide rest periods or compensation in lieu thereof; provide complete and accurate wage statements; maintain complete and accurate payroll records; pay all wages due upon termination; fully reimburse for business expenses. (SAC ¶¶ 35-46.)

Based on the foregoing, Plaintiff Guerrero initiated this action on July 17, 2023 with the filing of the complaint and October 2, 2023, she filed her first amended complaint which asserted the following causes of action: (1) violation of Labor Code §§ 510 and 1198 (unpaid overtime); (2) violation of Labor Code §§ 1182.12, 1194, 1197, 1197.1, and 1198 (unpaid minimum wages); (3) violation of Labor Code §§ 2267, 512, subdivision (a), 516, and 1198 (failure to provide meal periods); (4) violation of Labor Code §§ 226.7, 516, and 1198 (failure to authorize and permit rest periods); (5) violation of Labor Code §§ 226, subdivision (a), 1174, subdivision (d), and 1198 (non-compliant wage statements and failure to maintain payroll records); (6) violation of Labor Code §§ 201 and 202 (wages not timely paid upon termination); (7) violation of Labor Code § 204 (failure to timely pay wages during employment); (8) violation of Labor Code §§ 2802 (unreimbursed business expenses); (9) civil penalties under Labor Code § 2698, *et seq.* (PAGA); (10) violation of Business & Professions

Code §§ 17200, *et seq.* (unlawful business practices); and (11) violation of Business & Professions Code §§ 17200, *et seq.* (unfair business practices). On April 22, 2024, Plaintiff filed the operative SAC, which asserts the same claims and added Plaintiff Martinez to this action.

On March 26, 2026, the Court issued its order which granted Plaintiffs' motion for preliminary approval of class and PAGA settlement (the "Settlement").

Plaintiffs now move for an order finally approving: the Settlement; payments to class members, PAGA members, and the LWDA; and costs to settlement administrator Phoenix Settlement Administrators ("Phoenix").

II. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

A. Class Action

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (1)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

III. SETTLEMENT CLASS

All persons who worked for Defendant as non-exempt, hourly employees in the State of California at any time during the Class Period.²

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the

² The Class Period is defined as the period from July 17, 2019, through October 24, 2025.

burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

At preliminary approval, the Court provisionally certified the above-described Class, and it does not find any reasons to depart from that ruling at this time. Consequently, the Court will certify the Class for settlement purposes as requested.

IV. TERMS AND ADMINISTRATION OF SETTLEMENT

The non-reversionary gross settlement amount is \$ 1,000,000. Attorneys’ fees of up to one-third, which is approximately \$333,333, litigation costs of up to \$20,000, and administrative costs of \$15,500. \$60,000 will be allocated to PAGA penalties, with \$45,000 paid to Labor and Workforce Development Agency (“LWDA”) and \$15,000 will be distributed to PAGA Members, who are defined as “all persons who worked for Defendant as non-exempt, hourly employees in the State of California at any time during the PAGA Period.”³ Plaintiffs will seek a Class Representative Service Award in the amount of \$10,000 each—totaling \$20,000.

The net settlement amount—which is estimated to be \$551,167—will be allocated to members of the Class, who are defined as “all persons who worked for Defendant as non-exempt, hourly employees in the State of California at any time during the Class Period.” The average individual payment will be \$363.81. For tax purposes, 20% of each individual Class payment will be allocated as wages and 80% will be located as non-wages. Funds associated with checks uncashed after 180 days will be transmitted to the State Controller’s Office, Unclaimed Property Division.

In exchange for settlement, Class Members who do not opt out will release:

[A]ll claims, rights, demands, liabilities, and causes of action that are alleged in the operative Complaint, or which could have been alleged by reason of, or in connection with, any manner or fact set forth or referred to in the operative Complaint, including claims for violation of: 1) California Labor Code sections 510 and 1198 (unpaid overtime); (2) California Labor Code sections 1182.12, 1194, 1197, 1197.1, and 1198 (unpaid minimum wages); (3) California Labor Code sections 226.7, 512(a), 516, and 1198 (failure to provide meal periods); (4) California Labor Code sections 226.7, 516, and 1198 (failure to authorize and permit rest periods); (5) California Labor Code sections 226(a), 1174(d), and

³ The PAGA Period is defined as the period from May 13, 2022, through October 24, 2025.

1198 (non-compliant wage statements and failure to maintain payroll records); (6) California Labor Code sections 201 and 202 (wages not timely paid upon termination); (7) California Labor Code section 204 (failure to timely pay wages during employment); (8) California Labor Code section 2802 (unreimbursed business expenses); (9) California Business & Professions Code sections 17200, *et seq.* (unlawful business practices); and (10) California Business & Professions Code sections 17200, *et seq.* (unfair business practices).

PAGA Members, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[A]ll claims for civil penalties under California Labor Code §§ 2698, *et seq.*, that were brought or could reasonably have been brought based on the same facts alleged in Plaintiffs' LWDA letter during the PAGA Period.

The notice period has now been completed. Jarrod Salinas ("Salinas"), a case manager for Phoenix, submitted a declaration in support of the instant motion. On March 22, 2026, Phoenix received the notice packet and on April 9, 2026, defense counsel provided the Class list, which was processed and updated by Phoenix using the National Change of Address Database. On April 24, 2026, Phoenix mailed notice packets to 1,515 Class members. As of the date of Salinas' declaration, 12 notice packets have been returned and Phoenix performed skip traces and remained 4 notice packets. Thus, 8 notice packets have been deemed undeliverable.

The deadline to respond was June 8, 2026. As of the date of Salinas' declaration, Phoenix received 0 requests for exclusion and 0 objections to the settlement. Consequently, there are 1,515 participating Class members, representing 100% of the Class. The average individual payment is 363.81, with the highest being \$5,388.39. The average PAGA payment is \$25.38, with the highest being \$171.57.

Plaintiffs request \$15,500 for administration costs. This request is supported by Salinas' declaration. Thus, the amount is reasonable and therefore, it is approved.

At the preliminary approval, the Court found that the proposed settlement provides a fair and reasonable compromise to Plaintiffs' claims. It finds no reason to depart from these findings now, especially considering that there are no objections. Therefore, the Court finds that the Settlement is fair and reasonable for the purposes of final approval.

V. ATTORNEYS' FEES, LITIGATION COSTS, AND PLAINTIFFS' SERVICE AWARD

Class Counsel seeks a fee award of \$333,333 or one-third of the gross settlement amount, which is not an uncommon contingency fee in a wage and hour class action. Class Counsel provides a lodestar figure of \$203,412.50, based on 283.8 hours of work at billing rates ranging from \$500 to \$1,050 per hour, resulting in a multiplier of 1.64, which is within the range of multipliers that courts typically approve. (See *Wershba*, *supra*, 91 Cal.App.4th at p. 255 ["[m]ultipliers can range from 2 to 4 or even higher"]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court's own survey of large settlements funding a range of

0.6-19.6, with most (20 to 24, or 83%) from 1.0-4.0 and a bare majority (13 of 24, or 54%) in the 1.5-3.0 range”].)

“While the percentage method has been generally approved in common fund cases, courts have sought to ensure the percentage fee is reasonable by refining the choice of a percentage or by checking the percentage result against the lodestar-multiplier calculation.” (*Laffitte v. Robert Half Intern, Inc.* (2016) 1 Cal.5th 480, 495 (*Laffitte*).) Applying the latter approach,

[T]he percentage-based fee will typically be larger than the lodestar based fee. Assuming that one expects rough parity between the results of the percentage method and the lodestar method, the difference between the two computed fees will be attributable solely to a multiplier that has yet to be applied. Stated another way, the ratio of the percentage-based fee to the lodestar-based fee implies a multiplier, and that implied multiplier can be evaluated for reasonableness. If the implied multiplier is reasonable, then the cross-check confirms the reasonableness of the percentage-based fee; if the implied multiplier is unreasonable, the court should revisit its assumptions.

(*Laffitte, supra*, 1 Cal.5th at p. 496, quoting Walker & Horwich, *The Ethical Imperative of a Lodestar Cross-check: Judicial Misgivings About “Reasonable Percentage” Fees in Common Fund Cases* (2005) 18 Geo. J. Legal Ethics 1453, 1463.) As described by the California Supreme Court, “[i]f the multiplier calculated by means of a lodestar crosscheck is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Laffitte, supra*, 1 Cal.5th at 505.)

Here, the multiplier sought by Class Counsel is within the range California courts typically award, and it is supported by the percentage cross-check and Class Counsel’s declaration. Thus, the Court finds Class Counsel’s requested fee award is reasonable.

Class Counsel also seeks \$14,639.27 in litigation costs, which is below the \$20,000 allowed for in the Settlement. The request is supported by Class Counsel’s declaration. This amount is reasonable and thus, it is approved.

Plaintiffs request Class Representative Enhancement payment of \$10,000 each—totaling \$20,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

In the order granting preliminary approval, the Court ordered Plaintiffs to submit declarations detailing their efforts in this action. (See Order Granting Preliminary Approval, p. 13:3-4.)

Plaintiff Guerrero submitted a declaration in support of the request. She states she spent between 25 to 35 hours on this action, which includes meeting with Class Counsel, discussing facts related to her employment, reviewing documents, and communicating with Class Counsel. (Plaintiff Guerrero Decl., ¶¶ 4-5, 7, 10-11.) She further states that she considered the personal risk of participating in this action. (Plaintiff Guerrero Decl., ¶¶ 4, 6, 12.)

However, Plaintiff Martinez did not submit a declaration. Thus, the Court will continue the hearing on this motion to October 22, 2026, to allow Plaintiff Martinez the opportunity to submit the requested declaration.

VI. CONCLUSION

Plaintiffs' motion for final approval is CONTINUED to October 22, 2026, at 1:30 p.m. in Department 22. Plaintiff Martinez shall submit her supplemental declaration no later than October 16, 2026.

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Calendar Line 4

Case Name: *Karen Sbriglio, et al. v. Shantanu Narayen, et al.*

Case No.: 24CV429458 (consolidated with 25467627)

This is a consolidated derivative action brought on behalf of Adobe, Inc. (“Adobe”) against defendants Shantanu Narayen, Christiano Amon, Amy Banse, Brett Biggs, Melanie Boulden, Frank Calderoni, Laura Desmond, Spencer Neumann, Kathleen Oberg, Dheeraj Pnadey, David Ricks, and Dan Rosenweig (collectively, “Defendants”) for breach of fiduciary duty, waste of corporate assets, and unjust enrichment.

Before the Court is Defendants’ motion to stay, which is opposed. As discussed below, the Court DENIES Defendants’ motion for a stay pending final resolution of the Securities Action, and GRANTS their motion for a stay pending final resolution of the Securities Appeal.

I. BACKGROUND

According to the allegations of the operative consolidated shareholder derivative complaint (“FAC”), Adobe is a software company that offers a range of productivity and digital design applications on a subscription basis for, among other things, sharing documents, editing pictures, and designing webpages in the user interface and user experience (“UI/UX”) software design tools industry. (FAC, ¶ 2.) Adobe’s UI/UX design tool is Adobe XD (“XD”), a design tool for creating user interfaces in web and mobile apps. (*Ibid.*) Adobe’s products are part of its Digital Media business that is responsible for a substantial majority of the Company’s revenues. (*Ibid.*)

This action arises from Defendants’ conduct, which involved a scheme to conceal the competitive threat of Figma, Inc. (“Figma”). (FAC, ¶ 3.) They represented that it was not a threat to Adobe’s business while they internally developed a plan to acquire it. (FAC, ¶¶ 7-8.) On September 15, 2022, Adobe announces a deal to acquire Figma. (FAC, ¶ 8.) Investors and analysts understood that the deal was to protect Adobe and not a legitimate acquisition attempt. (FAC, ¶ 9.) As a result, the stock price dropped. (*Ibid.*) Defendants defended the proposed merger, and they revealed the extent of Adobe XD’s failure and Adobe’s inability to compete in the design tools market, which sent Adobe’s stock price even lower. (FAC, ¶ 10.)

Various regulatory agencies stepped in, including the U.K. Competition and Markets Authority (“CMA”), which acted first and based on its investigation, it issued a provisional conclusion that the deal would harm competition in the global market: for all-in-one product design software for professional users; vector editing software; and raster editing software. (FAC, ¶ 13.) Based on those findings and after a meeting with high-level officials from the U.S. Department of Justice (“DOJ”), adobe was forced to terminate the acquisition and make a \$1 billion payment to Figma for doing so. (FAC, ¶ 14.)

Based on the foregoing, Plaintiff Karen Sbriglio filed her shareholder derivative action on January 18, 2024 and Plaintiff Robert Daniel filed his action on May 28, 2025. On February 6, 2026, the Court issued its order which granted Plaintiff Daniel’s motion for appointment of lead counsel and denied Plaintiff Sbriglio’s motion for appointment of lead plaintiff and lead counsel. On March 16, 2026, Plaintiffs filed their consolidated stockholder derivative complaint.

II. MOTION TO STAY

Adobe seeks an order staying the instant action pending final resolution of the securities class action captions *In re Adobe Inc. Securities Litigation*, Civil Action No. 1:23-cv-09260-JGK, (the “Securities Action”), filed in the United States District Court for the Southern District of New York (the “District Court”) or alternative, pending final resolution of the appeal (the “Securities Appeal”) currently before the U.S Court of Appeals for the Second Circuit (the “Second Circuit”).⁴ (Defendants’ Motion, p. 2:9-15.)

A. Legal Standard

Trial courts may stay proceedings for a variety of reasons, including based on the court’s inherent authority. (*Frieberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489 [“[t]rial courts generally have the inherent power to stay proceedings in the interest of justice and to promote judicial efficiency”].) “[T]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.” (*Landis v. N. Am. Co.* (1936) 299 U.S. 248, 254.) The trial court’s inherent power to exercise reasonable control over all proceedings connected with the litigation before it “rests upon and is limited by the exercise of sound judicial discretion.” (*Bailey v. Fosca Oil Co.* (1963) 216 Cal.App.2d 813, 818.)

“When a federal action has been filed covering the same subject matter as is involved in a California action, the California court has the discretion but not the obligation to stay the state court action.” (*Caiafa Prof. Law Corp. v. State Farm Fire & Cas. Co.* (1993) 15 Cal.App.4th 800, 804 (*Caiafa*).) “In exercising its discretion the court should consider the importance of discouraging multiple litigation designed solely to harass an adverse party, and of avoiding unseemly conflicts with the courts of other jurisdictions. It should also consider whether the rights of the parties can best be determined by the court of the other jurisdiction because of the nature of the subject matter, the availability of witnesses, or the stage to which the proceedings in the other court have already advanced.” (*Farmland Irrigation Company v. Dopplmaier* (1957) 48 Cal.2d 208, 215 [citing *Simmons v. Superior Court* (1950) 96 Cal.App.2d 119, 123-131 and *Pesauera del Pacifico, S. de R. L. v. Superior Court* (1949) 89 Cal.App.2d 738, 740-741]; See also *Caiafa*, *supra*, 15 Cal.App.4th at p. 804.)

B. Analysis

Defendants argue this action should be stayed considering the substantial overlap between this action and the Securities Action as active litigation of this action risks significant harm to Adobe by forcing it to take positions in this case that would prejudice its defense of the Securities Action. (Defendants’ Motion, p. 16:12-15.) They further argue that a temporary stay would promote efficiency and judicial economy. (Defendants’ Motion, p. 16:15.) In opposition, Plaintiff Daniel argues that Defendants’ request ignores the significant differences between the instant action and the Securities Action; Defendants’ reason for the stay is

⁴ On November 10, 2025, the District Court entered judgment dismissing the complaint and the matter is now on appeal.

speculative and hypothetical; and judicial efficiency and economy and prejudice weigh against staying this action. (Daniel's Opposition ("Opp."), p. 1:14-20.)

On October 20, 2023, the Securities Action was filed in the Southern District of New York, and it asserts claims under sections 10, subdivision (b) and 20, subdivision (a) of the Securities Exchange Act against Adobe and individual executives on behalf of Adobe common stock purchasers from July 23, 2021 to September 22, 2022. The conduct at issue includes misleading statements made regarding the acquisition. In March 2025, the District Court granted the defendants' motion to dismiss and on November 7, 2025, it denied the plaintiffs' motion for leave to file a second amended complaint. On November 10, 2025, the District Court entered the judgment dismissing the action and the plaintiffs appealed. The appeal is still pending.

On November 16, 2023, a stockholder derivative action on behalf of Adobe was filed in the United States District Court for the District of Delaware, *Shah v. Narayen, et al.* (*Shah*) and on January 3, 2024, a second stockholder derivative action was filed in the same court, *Gervat v. Narayen, et al.* (*Gervat*). They assert claims under Delaware law for breach of fiduciary duty and waste of corporate assets based on largely the same conduct against Adobe's current and former officers and directors. *Shah* and *Gervat* were consolidated into a single action and subsequently stayed pending the final resolution of the motion to dismiss in the Securities Action, pursuant to the parties' joint stipulation. On January 29, 2024, another stockholder derivative action was filed in the District Court, *Roy v. Narayen, et al.* (*Roy*), it asserts similar allegations and claims, and it is also stayed.

The instant action alleges Defendants breached their fiduciary duties by making allegedly misleading statements regarding Figma's competition with Adobe and by entering into the acquisition despite the risk of regulatory scrutiny. Based on the foregoing, Defendant argues the instant action substantially overlaps with the Securities Action and thus, it should be stayed pending the resolution of the appeal.

Here, the operative facts overlap between the instant action and the Securities Action as both arise from the acquisition of Figma and the purported misrepresentations related to Figma's status as a competitor. However, only one individual defendant (Defendant Narayen) is involved in both actions. Moreover, the Securities Action asserts securities fraud claims under federal law whereas, the instant action asserts claims for breach of fiduciary duty, waste of corporate assets, and unjust enrichment claims under state law. Additionally, the instant action seeks to recover the \$1 billion termination fee and reform to the corporate governance, which is not sought in the Securities Action. (See FAC, ¶¶ 140-143, Prayer for Relief, A-B.) Thus, regardless of the outcome of the appeal, the Securities Action will not overlap with the instant action on this relief.

Nonetheless, the distinctions in relief and named defendants in the actions do not overcome the fact that the actions arise from overlapping factual allegations pertaining to the competition between Adobe and Figma, the proposed acquisition and the outcome of the acquisition.

Next, Defendants argue that, in the Securities Action, Adobe "successfully argued that none of the challenged statements about competition generally or with Figma specifically was false or misleading because Adobe disclosed competition between XD and Figma; there was no meaningful competition between Figma and Adobe's Photoshop or Illustrator products as the CMA itself found; and many of the statements were not actionable under various legal

doctrines and thus could not expose Adobe to liability in any event.” (Defendants’ Motion, p. 17:12-20.) Defendants contend that Adobe would have to make the exact opposite argument in the instant action, which would harm Adobe’s litigation prospects. (Defendants’ Motion, p. 18:6-13.) As the matter is on appeal, it appears that Defendants’ argument regarding the potential of contradictory positions is contingent upon a reversal of the District Court’s order dismissing the Securities Action. The Court agrees that if this were to occur, proceeding with the instant action could require Adobe to advance a conflicting position in this action. However, at this time, such an outcome and the risk of Adobe having to advance conflicting positions is speculative. On this point, the instant action is factually distinguishable from *In re STEC, Inc. Derivative Litig.* (C.D.Cal. Jan. 11, 2012) 2012 U.S. Dist. LEXIS 189167 at * 6 (*In re STEC*) and *In re RHS S’holder Derivative Litig.* (N.D.Cal Jan 23, 2019) U.S. Dist. LEXIS 11128 at *5 (*In re RHS*) because in those cases, the motion to dismiss the securities class actions were denied in part or in full. Whereas here, the motion to dismiss was granted with prejudice. Thus, in this Court’s view, the risk of harm to Adobe in allowing the instant action to proceed is more attenuated as it depends on the outcome of the Securities Appeal. On this basis, the Court is not persuaded that this potential risk supports staying the instant action through the final resolution of the Securities Action.

Third, Defendants argue that it would promote judicial efficiency and economy to stay this action as Plaintiff seeks costs incurred in defending and paying any settlement in the Securities Action, thus, it would be efficient to litigate the action giving rise to those harms before this action proceeds. (Defendants’ Motion, p. 20:1-12.) Defendants’ further argue that the other derivative actions (*Shah*, *Gervat*, and *Roy*) are stayed pending the outcome of the Securities Appeal. On this basis, Defendants argue that a stay of the instant action would promote judicial economy and efficiency because it would ensure that the derivative actions will not proceed on different tracks. (Defendants’ Motion, p. 20:17-21.) In opposition, Plaintiff Daniel argues that both actions are in the early stages and denying the motion would allow this action to proceed in a timely manner. (Opp., p. 11:5-7.) He further argues that the other cases were stayed voluntarily, thus, there is no risk of duplicative discovery efforts at this stage because the plaintiffs have not overcome pleading challenges by Defendants. (Opp., p. 12:7-10.) Defendants state that the appeal is set for oral argument for the week of December 7, 2026. (Defendants’ Reply, p. 5:1, fn. 1)

As noted above, part of Plaintiffs’ damages theory is predicated on the outcome of the Securities Action. While the Securities Appeal will not address the instant action in its entirety due to the distinctions arising from the legal theories, potential harms, and differing defendants, it does appear that judicial efficiency and economy would be furthered by a stay of the instant action through the resolution of the Securities Appeal.

Lastly, Defendants contend that Plaintiffs will not be prejudiced by a stay because the request is limited to the pendency of the Securities Action, which is on appeal. (Defendants’ Motion, p. 21:2-3.) In opposition, Plaintiff Daniel argues that Plaintiffs will be prejudiced by the threat of lost documents, fading memories, and the delay to obtaining relief with regard to corporate governance. (Opp., p. 2:17-20.) It is undisputed that neither case has proceeded to discovery. On this basis, there is a risk of delay-related harm to Plaintiffs such that an indefinite stay through the resolution of the Securities Action is not supported because resolution of the Securities Appeal does not necessarily mean full resolution of the Securities Action.

On balance, the Court finds that a stay of the instant action through the final resolution of all aspects of the Securities Action is not warranted here. However, it is persuaded that a stay through the resolution of the Securities Appeal is supported here overlapping nature of the actions, the fact that oral argument has been set for the Securities Appeal, and the furtherance of judicial efficiency and economy. Furthermore, a limited stay will likely avoid the risk of prejudice identified above, and it will bring the instant action in line with the other derivative actions and thus, will avoid duplicative efforts and piecemeal litigation.

Based on the foregoing, Defendants' motion for a stay pending final resolution of the Securities Action is DENIED, and their motion for a stay pending final resolution of the Securities Appeal is GRANTED.

III. CONCLUSION

Defendants' motion for a stay pending final resolution of the Securities Action is DENIED, and their motion for a stay pending final resolution of the Securities Appeal is GRANTED.

The Court will prepare the order.

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Calendar Lines 5-6

Case Name: *In Re Maxar Data Security Litigation*

Case No.: 24CV452108 (consolidated with 24CV454292)

This class action arises from a purportedly preventable data breach due to defendant Maxar Space LLC's and Maxar Space Robotics LLC's (collectively "Defendant" or "Maxar") inadequately protected computer network.

Before the Court is plaintiffs Cynthia Replogle's and Philipp Covington's (collectively, "Plaintiffs"): (1) motion for final approval of settlement; and (2) motion for attorneys' fees, expenses, and service awards, which are both unopposed. As discussed below, the Court GRANTS Plaintiffs' motion for final approval; and GRANTS Plaintiffs' motion for attorneys' fees, expenses, and service awards.

VII. BACKGROUND

According to the allegations of the operative Complaint, on October 11, 2024, Defendant discovered that unauthorized cybercriminals had conducted a successful cybersecurity attack whereby they infiltrated Defendant's inadequately secured computer network and gained unauthorized access to the personal information of likely thousands of current and former employees whose data was stored within Defendant's system. (Complaint, ¶¶ 1, 21.) Following a forensic investigation, it was determined that the type of Personal Information accessed by cyber criminals which included names, social security numbers, home addresses, gender, employment information, and business contact information of Plaintiff and Class Members. (Complaint, ¶ 22.)

Based on the notice that Plaintiff received, it is plausible and likely that Plaintiff's personal information was stolen in the data breach. (Complaint, ¶ 23.) Defendant had obligations created by industry standards, common law, statutory law, and its own assurances and representations to keep Plaintiffs' and Class Members' information confidential and to protect it from unauthorized access. (Complaint, ¶ 25.) Defendant failed to spend sufficient resources on preventing external access, detecting outside infiltration, and training its employees to identify email-borne threats and defend against them. (Complaint, ¶ 26.)

Based on the foregoing, Plaintiff Replogle initiated this action on November 19, 2024, with the filing of the operative Complaint, which asserts the following causes of action: (1) negligence; (2) breach of implied contract; (3) violation of the California Consumer Privacy Act (Civ. Code, §§ 1798.100, *et seq.*); and (4) violation of the California Consumer Records Act (Civ. Code §§ 1798.80, *et seq.*) On April 15, 2025, the Court (Hon. Adams) issued its order consolidating the instant action with Plaintiff Covington's case. On March 26, 2026, the

Court issued its order which granted Plaintiffs' motion for preliminary approval of class action settlement.

Plaintiffs now move for an order finally: approving the class action settlement; certifying the class and subclass for settlement purposes; confirming of Plaintiffs as Class representatives; approving John Nelson and A. Brooke Murphy as Class Counsel; and approving attorneys' fees, costs, and service awards for Plaintiffs.

VIII. MOTION FOR FINAL APPROVAL

C. LEGAL STANDARD FOR SETTLEMENT APPROVAL

Generally, "questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court's broad discretion." (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

D. Settlement Class

Plaintiffs request certification of the following Class and Subclass for settlement purposes.

Class: All living persons residing in the United States whose PII was potentially compromised in the Data Incident announced by Maxar Space in or around October of 2024, including all persons who received a breach of notice letter.

California Subclass: All living persons residing in California whose PII was potentially compromised in the Data Incident announced by Maxar Space in or around October of 2024, including all persons who received a breach notice letter.

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

At preliminary approval, the Court provisionally certified the above-described Class and Subclass, and it does not find any reasons to depart from that ruling at this time. Consequently, the Court will certify the Class and Subclass for settlement purposes as requested.

E. Terms and Administration of Settlement

Plaintiffs do not provide a gross settlement amount. The Settlement states that attorneys’ fees and costs of up to \$125,000 and class representative awards up to \$2,000 each, and settlement administration costs will be paid by Maxar separate and apart from the settlement payment.

There are two components to the Settlement Class: (1) the nationwide Class; and (2) the California Subclass.

All Settlement Class Members are eligible to claim up to \$3,500 in reimbursement for out-of-pocket losses incurred as a result of the Data Incident. All Settlement Class Members may submit a claim for reimbursement of “Lost Time”—this amount is included within the \$3,500 cap for out-of-pocket expenses. California Subclass members are entitled to submit a claim for \$100 cash payment to address the California statutory claims—payments of this type will be subject to an aggregate cap of \$15,000. Therefore, if the cap is reached, these payments will be subject to a *pro rata* reduction based on the number of claims made. All members of the Settlement Class who submit a valid Claim Form shall be provided access to credit monitoring services for a period of three (3) years from the date a member of the Settlement Class claims the offer as provided in the short notice.

In exchange for settlement, Class Members who do not opt out will release:

[A]ny and all past, present, and future claims, demands, actions, causes of action, costs, expenses, attorneys’ fees, losses, rights demands, charges, complaints, suits petitions, obligations, debts, penalties, damages, or liabilities of any nature whatsoever, known or unknown, liquidated or unliquidated, accrued or unaccrued, fixed or contingent, direct or derivative, matured or unmatured, in law or equity, and any other form of legal or equitable relief that has been asserted, was asserted, or could have been asserted, by any Settlement Class Member against any of the Released Parties, reasonably related to the operative facts alleged in or otherwise described by the Litigation or arising out of or in any way related to other Data Incident and/or the Released Parties’ recordkeeping or data security policies and practices, whether or not pleaded or otherwise asserted in the Litigation, including any and all damages, losses, or consequences thereof.

The notice period has now been completed. Orlando Castillejos, a Senior Project Manager of Client Services for settlement administrator Simpluris, Inc. (“Simpluris”) submitted a declaration in support of the instant motion. On April 3, 2026, defense counsel provided Simpluris with the Class list. As the settlement administrator, Simpluris was charged with:

- (a) Establishing and maintaining an Interactive Voice Response (“IVR”) settlement-specific toll-free telephone number, available 24 hours, offering the opportunity to listen to frequently asked questions;
- (b) Establishing a P.O. Box to receive undeliverable notices, Claims Forms, requests for exclusion, objections to the proposed Settlement, and any other correspondences submitted by Settlement Class Members;
- (c) Developing and maintaining an interactive Settlement Website, which hosts relevant settlement documents; allows Settlement Class Members to submit a Claims Form; and complies with data privacy requirements, including a detailed Privacy Policy;
- (d) Obtaining the Class list and mailing direct notice of the Settlement, consisting of notice via email and notice with postal mail that provide information on how to submit a Claim, the deadline to do so, and other relevant dates;
- (e) Receiving and processing Claims Forms, requests for exclusion, objections and related Class correspondence;
- (f) Providing counsel with weekly status reports;

- (g) Establishing and maintaining a 26 C.F.R. § 1.468B-1 compliant Qualified Settlement Fund;
- (h) Calculating, processing, and issuing payments to Settlement Class Members who submit valid claims;
- (i) Preparing and filing all applicable tax forms and tax returns with state and federal agencies; and
- (j) Other tasks as the parties mutually agree or the Court orders Simpluris to perform.

On April 17, 2026, Simpluris sent the email notices to 1,678 Class Members with a valid email. As of September 1, 2026, 1,656 email notices were delivered and 22 were returned as undeliverable. On May 29, 2026, it sent supplemental email notices to 408 email addresses provided by defense counsel. As of September 1, 2026, 397 supplemental email notices were delivered and 11 were returned as undeliverable. On June 16, 2026, Simpluris sent 1,232 2nd supplemental email notices to Class Members who were sent notices to their Maxar work email addresses and as of September 1, 2026, 1,219 2nd supplemental email notices were delivered and 13 were returned as undeliverable.

On April 29, 2026, Simpluris mailed the short form notice to 19 Class Members with valid mailing addresses who did not have valid email addresses. On May 29, 2026, Simpluris mailed a supplemental short form notice to 301 mailing addresses provided by defense counsel. As of September 1, 2026, 1 short form notice and 31 supplemental short form notices have been returned by USPS. Of the short form notices, the one short form notice was remailed and none are considered undeliverable. Of 31 returned supplemental, 28 were remailed and 3 have been determined to be undeliverable.

On April 16, 2026, Simpluris made the Settlement Website available and as of September 1, 2026, it has received 10,866 views and 4,793 unique visitors. On April 17, 2026, the toll-free number was made public and it will remain in operation through settlement administration. As of August 2, 2026, Simpluris was able to reach 97.21% of the Settlement Class via direct notice.

The deadline to respond was June 16, 2026. As of September 1, 2026, Simpluris received 0 objections and 0 requests for exclusions and it has received and processed 80 Claims Forms, which represents a claims rate of approximately 4.77%.

At the preliminary approval, the Court found that the proposed settlement provides a fair and reasonable compromise to Plaintiffs' claims. It finds no reason to depart from these findings now, especially considering that there are no objections. Therefore, the Court finds that the Settlement is fair and reasonable for the purposes of final approval.

IX. MOTION FOR ATTORNEYS' FEES, LITIGATION COSTS, AND PLAINTIFFS' SERVICE AWARD

Class Counsel seeks approval of a fee award of \$125,000, which is to be paid by Maxar separate from the Class benefits.

The Court has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) The lodestar method is a recognized method for calculating attorney fees in civil class actions and is appropriately employed in this case. (See *Wershba, supra*, 91 Cal.App.4th at p. 254 [“Courts recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method.”]; *Consumer Privacy Cases* (2009) 175 Cal.App.4th 545, 556–557 [trial court properly awarded attorney fees in consumer class action based on lodestar method where there was no “common fund” justifying a percentage recovery].)

The lodestar (or touchstone) is produced by multiplying the number of hours reasonably expended by counsel by a reasonable hourly rate. Once the court has fixed the lodestar, it may increase or decrease that amount by applying a positive or negative ‘multiplier’ to take into account a variety of other factors, including the quality of the representation, the novelty and complexity of the issues, the results obtained, and the contingent risk presented.

(*Consumer Privacy Cases, supra*, 175 Cal.App.4th at p. 556, internal citation and quotations omitted.)

Class Counsel provides a lodestar figure of \$88,273.80, based on 130.70 hours of work at billing rates ranging from \$277 to \$1,227 per hour, resulting a multiplier of 1.41. This is within the range of multipliers that courts typically approve. (See *Wershba, supra*, 91 Cal.App.4th at p. 255 [“[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court’s own survey of large settlements funding a range of 0.6-19.6, with most (20 to 24, or 83%) from 1.0-4.0 and a bare majority (13 of 24, or 54%) in the 1.5-3.0 range].) Moreover, the hours and rates are reasonable based on the information provided in Class Counsel’s joint declaration. Class Counsel also incurred \$3,975.20 in costs. The combined fee and costs award of \$125,000 is within the range approved by courts. Thus, the fee and costs award requested by Class Counsel is reasonable and consequently, it is approved.

Lastly, Maxar agreed to pay service awards to Plaintiffs in the amount of \$2,000 each—totaling \$4,000, separate from the relief being made available to the Class.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S. Dist. LEXIS 29837, at *29.)

Plaintiffs submitted their respective declarations in support of the request. Based on the information in their declarations pertaining to time spent on this action and conduct by Plaintiffs, the duration of this litigation, and the risks taken by Plaintiffs, the Court finds that Plaintiffs are entitled to the service awards and the amount requested is reasonable. Thus, the request for the service awards is approved.

X. CONCLUSION

In accordance with the above, IT IS HEREBY ORDERED, ADJUDGED, AND DECREED THAT:

Plaintiffs' motion for attorneys' fees, expenses and service awards is GRANTED. Additionally, Plaintiffs' motion for final approval is GRANTED. The following Class and Subclass are certified for settlement purposes only:

Class: All living persons residing in the United States whose PII was potentially compromised in the Data Incident announced by Maxar Space in or around October of 2024, including all persons who received a breach of notice letter.

California Subclass: All living persons residing in California whose PII was potentially compromised in the Data Incident announced by Maxar Space in or around October of 2024, including all persons who received a breach notice letter.

Judgment will be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Plaintiffs and the members of the Class will take from the operative complaint only the relief set forth in the settlement agreement and this order and judgment. Pursuant to Rule 3.769(h) of the California Rules of Court, the Court will retain jurisdiction over the parties to enforce the terms of the settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **May 20, 2027 at 2:30 P.M.** in Department 22. At least ten court days before the hearing, Class Counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted pursuant to Code of Civil Procedure section 384, subdivision (b); the status of any unresolved issues; and any other matters appropriate to bring to the Court's attention. Counsel shall also submit an amended judgment as described in Code of Civil Procedure section 384, subdivision (b). Counsel may appear at the compliance hearing remotely.

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